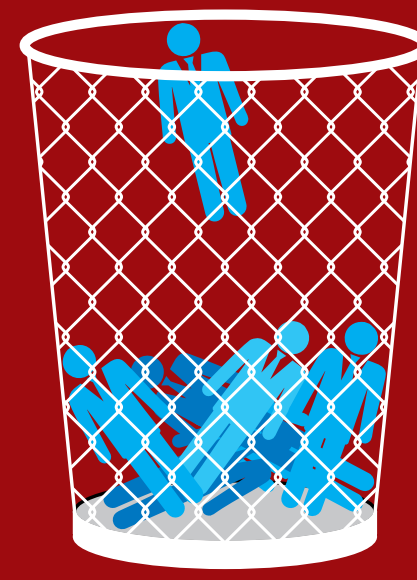
IN THE FIRING LINE

Over 5,800 staff have been laid off by start-ups in India so far this year

START-UP	NO. OF EMPLOYEES FIRED	MONTH
Unacademy	600	April
Vedantu	624	May
Meesho	150	April
Cars24	600	May
Ola	2,100	January-March
Furlenco	180	March
Trell	300	March
Lido Learning	200	February
Better.com	930	May
Udayy	120	May

(Source: Media reports, industry estimates)



and raised interest rates, making capital expensive and investors edgy. In March, Masayoshi Son, the high-profile CEO of one of the world's largest PE investors, SoftBank Group of Japan, came under pressure for his mercurial investment style that led to expensive bets on start-ups across the world, including in India. "I promise you I'll be more careful and listen. My views do not change, but my behaviour becomes a little more careful," he was quoted telling investors during a presentation in Manhattan in March. But the assurances came a little late as the firm's Vision Fund posted record losses of $27.4 billion in 2021-22.

"Earlier, start-ups had leverage and everyone was rushing in to invest," says Prashant Choksey, co-founder at Mumbai Angels, a firm that invests in early stage ventures. "Investors were busy signing off term sheets. There was a gold rush. But now, the leverage has moved from the start-ups to the venture capitalists and the PE players." Start-ups have suddenly realised that there is no one waiting for them at the other end. It is not the paucity of funds that's the problem, but the



"WHEN VALUATIONS OF SOME FIRMS RAN UP THE WAY THEY HAVE, A CORRECTION WAS INEVITABLE. START-UPS NEED TO CONVINCE INVESTORS THAT THEY ARE NOT ANOTHER SINK-HOLE FOR CAPITAL"

SASHA MIRCHANDANI
MD & Founder, Kae Capital

cautious nature of those dealing with the funds, says Choksey. "Liquidity is available in the market. The system is full of money...but it has become cautious," he says. Some feel investors are equally to blame. "I won't blame the start-up founders as much as the VCs and PEs who kept pumping in that kind of money into these companies and expected them to grow at no cost," Nikhil Kamat, co-founder of online broking firm Zerodha, said in a television interview. His firm is entirely bootstrapped—industry jargon for a firm that has no external funding.

CAUTION IS THE BYWORD

The present situation gives investors a lot more leeway to conduct better due diligence—study the business models, the path to profitability and understand the organisation's culture and integrity of the founders. The recent episode concerning Singapore-based fashion tech start-up Zilingo, where the board sacked Indian origin co-founder and CEO Ankiti Bose following an independent forensic audit into complaints of financial irregularities, has highlighted all that can go